Report To Shareholders
Management's Discussion and Analysis

The second quarter financial results for Canada Bread reflect volume increases in both our fresh and frozen par-baked operations. This solid performance was partially offset by a labour dispute at a Quebec distribution centre and higher input costs affecting the U.S operations that were not passed on through price increases.

Sales for the quarter increased 22% to $312.5 million from $255.3 million for the prior year period, while sales for the first six months increased 28% to $621.5 million compared to $486.8 million for the prior year. The increase in sales was primarily due to the contribution from Maple Leaf Bakeries operations, which were acquired in the fourth quarter of 2002.

Earnings from operations decreased 8% to $15.3 million from $16.7 million last year. Earnings in the quarter were affected by the costs of a strike at one of the Company's distribution centres in Quebec and one-time costs associated with the integration of the Company's fresh bakery operation in Atlantic Canada. Excluding the effects of these unusual items, earnings for the quarter would have reflected an increase of 8% from last year. In the U.S. operations, rising input costs had some impact on margins as not all costs could be passed on through price increases. Year-to-date earnings from operations, not including a $7.4 million pre-tax charge in the first quarter related to a plant closure, increased 7% to $29.5 million from $27.7 million last year.

The Company continued to grow market share in the commercial fresh bread market, driven by its value-added focus and strong brands. Frozen par-baked sales continued to increase and significant new customer accounts secured in the second quarter will contribute to growth in this business through the rest of the year. The Company's U.K. bakery operations and North American fresh pasta operations recorded increased earnings in the second quarter, based on continuing strong bagel growth in the United Kingdom, and the introduction of a variety of new pasta and sauce offerings in Canada and the U.S. under the *Olivieri* brand.

Interest expense for the second quarter increased to $2.2 million from $1.1 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

Net earnings for the second quarter were $9.2 million ($0.36 per share), compared to $10.0 million ($0.47 per share) last year, reflecting the lower operating earnings and higher interest expenses, and the effect of the issuance in the first quarter of four million shares from treasury. Net earnings for the first six months were $12.5 million ($0.50 per share) compared with $16.4 million ($0.77 per share) last year. After adjusting for the restructuring charge in first quarter, year-to-date net earnings were $17.3 million ($0. 70 cents a share).

In July the Company completed the acquisition of Parisco Limited of Richmond Hill, Ontario. Parisco is a leading producer of high quality Belgian style waffles and has been producing *Dempster's* Fresh Waffles for Canada Bread since the product was launched in early 2003. The acquisition will support Canada Bread's expansion into the breakfast waffle market.

In the third quarter of 2002, the Company acquired Olafson's Baking Inc. ("Olafson's") of Delta British Columbia. As at June 30, 2003, the Company has committed to a restructuring plan for the integration of Olafson's and had completed the purchase accounting for this acquisition.

The Company declared a dividend of $0.06 per share payable on October 1, 2003 to shareholders of record on September 12, 2003.

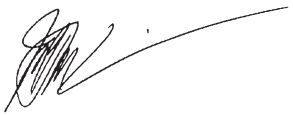
While some unusual and one-time expenses affected our financial performance in the second quarter, we remain extremely optimistic about the progress we are making to integrate the acquisitions we have made over the last two years and capture the synergies in our combined organization. Realizing these opportunities to reduce costs and improve operating efficiencies, combined with the innovation we continue to bring to the marketplace, will continue to drive our top line and bottom line growth.

Forward Looking Statements

This document contains forward-looking statements and information, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, the statements. Refer to the Company's annual report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,

Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

July 23, 2003